better use of technology. The plan will need to be stress tested by regulators periodically and supported by enabling legislation – such as one facilitating an orderly transfer of the institution's swap books to pre-committed partners. Not only will the need to develop a plan give these institutions the incentive to reduce unnecessary complexity and improve management, it will not be much more onerous in the boom, and may indeed force management to think the unthinkable at such times.

Let me conclude. A crisis offers us a rare window of opportunity to implement reforms – it is a terrible thing to waste. The temptation will be to over-regulate, as we have done in the past. This creates its own perverse dynamic.

For as we start eliminating senseless regulations once the recovery takes hold, we will find deregulation adds so much economic value that it further empowers the deregulatory camp. Eventually, though, the deregulatory momentum causes us to eliminate regulatory muscle rather than fat. Perhaps rather than swinging maniacally between too much and too little regulation, it would be better to think of cycle-proof regulation.

Postscript: These ideas (I cannot claim originality because these were in the air) made their way into post-crisis regulation as contingent convertible bonds (CoCos) and living wills.